

**SENATE SUBSTITUTE FOR
HOUSE BILL NO. 5807**

A bill to amend 1956 PA 218, entitled
"The insurance code of 1956,"
by amending sections 476a and 476b (MCL 500.476a and 500.476b), as
amended by 2007 PA 187.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 476a. (1) Beginning August 3, 1987, whenever, by a law in
2 force outside of this state or country, a domestic insurer or agent
3 of a domestic insurer is required to make a deposit of securities
4 for the protection of policyholders or otherwise, or to make
5 payment for taxes, fines, penalties, certificates of authority,
6 valuation of policies, or otherwise, or a special burden or other
7 burden is imposed, greater in the aggregate, **after the subtraction**
8 **described in subsection (8)**, than is required by the laws of this



1 state for a similar alien or foreign insurer or agent of an alien
2 or foreign insurer, the alien or foreign insurer of that state or
3 country is required, as a condition precedent to its transacting
4 business in this state, to make a like deposit for like purposes
5 with the state treasurer of this state, and to pay to the revenue
6 commissioner for taxes, fines, penalties, certificates of
7 authority, valuation of policies, and otherwise an amount equal in
8 the aggregate to the charges and payments imposed by the laws of
9 the other state or country upon a similar domestic insurer and the
10 agents of a domestic insurer, **reduced by the subtraction described**
11 **in subsection (8)**, regardless of whether a domestic insurer or
12 agent of a domestic insurer is actually transacting business in
13 that state or country. For fire department or salvage corps taxes
14 or other local taxes the amount shall be computed by the revenue
15 commissioner by dividing the total of the payments made by domestic
16 insurers in that state or country by the gross premium received by
17 domestic insurers in that state or country less return premiums.
18 The commissioner shall revoke the certificate of authority of an
19 alien or foreign insurer refusing for 30 days to make payment of
20 fees or taxes as required by this chapter. Except as provided in
21 subsections (3) and (4), for purposes of this section, an insurer
22 organized under the laws of a state or country other than these
23 United States shall be considered an insurer of the state in which
24 its general deposit for the benefit of its policyholders is made.

25 (2) The purpose of this section is to promote the interstate
26 business of domestic insurers by deterring other states from
27 enacting discriminatory or excessive taxes.

28 (3) Subsection (4) does not apply to a domestic insurer that
29 is owned or controlled, directly or indirectly, by an alien or



1 foreign insurer who prior to 1998 and with the commissioner's
 2 approval did not keep books, records, and files or true copies
 3 thereof in this state.

4 (4) For purposes of this section, the state treasurer, after
 5 consultation with the commissioner, shall determine that a domestic
 6 insurer is an alien or foreign insurer domiciled in a state or
 7 country determined by the state treasurer if the insurer does not
 8 comply with all of the following:

9 (a) Maintain its principal place of business in this state.

10 (b) Maintain in this state officers and personnel responsible
 11 for and knowledgeable of the company's operation, books, records,
 12 administration, and annual statement.

13 (c) Conduct in this state a substantial portion of its
 14 underwriting, sales, claims, legal, and, if applicable, medical
 15 operations relating to Michigan policyholders and certificate
 16 holders.

17 (d) Comply with section 5256(1)(a) and (2) ~~through to~~ (6). The
 18 commissioner shall inform the state treasurer when a domestic
 19 insurer is not in compliance with section 5256(1)(a) or (2) ~~through~~
 20 ~~to~~ (6).

21 (5) Taxes collected ~~pursuant to~~ **under** this section are subject
 22 to ~~section 22d of the former single business tax act, 1975 PA 228,~~
 23 ~~or~~ section 243 of the Michigan business tax act, 2007 PA 36, MCL
 24 208.1243, **or section 643 of the income tax act of 1967, 1967 PA**
 25 **281, MCL 206.643.**

26 (6) The state treasurer shall administer the tax prescribed by
 27 this section in the manner provided in 1941 PA 122, MCL 205.1 to
 28 205.31.

29 (7) The requirements of section 28 of 1941 PA 122, MCL 205.28,



1 that prohibit an employee or an authorized representative or former
2 employee or authorized representative or anyone connected with the
3 department of treasury from divulging any facts or information
4 obtained in connection with the administration of taxes, do not
5 apply to disclosure of the tax return prescribed in this act.

6 (8) For tax years that begin on and after January 1, 2027, in
7 calculating the total burdens imposed by a foreign state or country
8 on a domestic insurer or agent under subsection (1), including any
9 required deposits, payments, or other burdens described in that
10 subsection, an alien or foreign insurer that is a qualified
11 taxpayer may subtract a housing opportunity tax credit for a
12 qualified project in an amount equal to the amount of that credit
13 listed on the allocation report for that qualified taxpayer for
14 that qualified project, and the subtraction shall constitute the
15 housing opportunity tax credit. Except as otherwise provided in
16 subsection (9), an alien or foreign insurer that is a qualified
17 taxpayer and an owner shall claim a subtraction for a housing
18 opportunity tax credit listed on an allocation report for the
19 owner's tax year described in section 22e(5) of the state housing
20 development authority act of 1966, 1966 PA 346, MCL 125.1422e.
21 Except as otherwise provided in subsection (9), an alien or foreign
22 insurer that is a qualified taxpayer that has been allocated a
23 housing opportunity tax credit listed on an allocation report shall
24 claim a subtraction for that credit for the qualified taxpayer's
25 tax year described in section 22e(6) of the state housing
26 development authority act of 1966, 1966 PA 346, MCL 125.1422e. An
27 alien or foreign insurer shall not claim a subtraction for a
28 housing opportunity tax credit for a calendar year listed on an
29 allocation report unless the alien or foreign insurer and the



1 amount of the alien or foreign insurer's credit are listed on that
2 allocation report.

3 (9) To claim the subtraction under subsection (8), an alien or
4 foreign insurer that is a qualified taxpayer shall attach a copy of
5 the eligibility statement to the annual tax return filed under this
6 act on which the subtraction is claimed. However, if the owner of
7 the qualified project that has received an approval notice has
8 submitted a final cost certification and a request for an
9 eligibility statement to the authority but the authority has not
10 yet approved the final cost certification and issued the
11 eligibility statement to the owner, the alien or foreign insurer
12 that is a qualified taxpayer may either claim the subtraction on
13 the qualified taxpayer's annual return for the tax year as
14 prescribed under subsection (8) by attaching a copy of the approval
15 notice for that qualified project or wait to claim the subtraction
16 on the qualified taxpayer's annual return for the tax year in which
17 the eligibility statement for the qualified project is issued. If
18 an updated allocation report is provided to the department under
19 section 22e(8)(b) of the state housing development authority act of
20 1966, 1966 PA 346, MCL 125.1422e, that reduces or increases the
21 amount of a housing opportunity tax credit that was previously
22 claimed as a subtraction under this section by an alien or foreign
23 insurer that is a qualified taxpayer, each alien or foreign insurer
24 that is a qualified taxpayer that had its credit amount adjusted
25 shall file an amended return for the affected tax year to adjust
26 the amount of the credit accordingly.

27 (10) If any portion of a federal low-income housing tax credit
28 claimed for a qualified project for which an alien or foreign
29 insurer also claimed a subtraction under subsection (8) or a credit



1 under section 678 of the income tax act of 1967, 1967 PA 281, MCL
2 206.678, is required to be recaptured or is otherwise disallowed
3 during the credit period under section 42 of the internal revenue
4 code of 1986, 26 USC 42, the alien or foreign insurer that claimed
5 the subtraction under subsection (8) or the credit under section
6 678 of the income tax act of 1967, 1967 PA 281, MCL 206.678, for
7 that same qualified project is also required to recapture a portion
8 of the housing opportunity tax credit as provided under this
9 subsection. The percentage of the housing opportunity tax credit
10 subject to recapture must be equal to the percentage of the federal
11 low-income housing tax credit subject to recapture or otherwise
12 disallowed during the same tax year. For an alien or foreign
13 insurer that is a qualified taxpayer that, without regard to the
14 amount of any recapture that may be required under this subsection,
15 is subject to the tax under this section for the tax year in which
16 the recapture or disallowance event is identified on the federal
17 return, any housing opportunity tax credits recaptured or
18 disallowed must be added back to the tax liability of the qualified
19 taxpayer in a like amount and must be included on the annual return
20 of the qualified taxpayer submitted for the tax year in which the
21 recapture or disallowance event is identified on the federal
22 return.

23 (11) As used in this section:

24 (a) "Allocation report", "approval notice", "eligibility
25 statement", "federal low-income housing tax credit", "flow-through
26 entity", "housing opportunity tax credit", "owner", and "qualified
27 project" mean those terms as defined under section 22e of the state
28 housing development authority act of 1966, 1966 PA 346, MCL
29 125.1422e.



(b) "Authority" means the Michigan state housing development authority created under section 21 of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1421.

(c) "Qualified taxpayer" means any of the following:

(i) The owner of a qualified project that has received an eligibility statement for that qualified project.

(ii) The owner of a qualified project that received an approval notice and has submitted a final cost certification and a request for an eligibility statement to the authority but the authority has not yet approved the final cost certification and issued the eligibility statement to the owner.

(iii) An alien or foreign insurer that owns a direct or indirect, through 1 or more other flow-through entities, interest in an owner described under subparagraph (i) or (ii) and that has been allocated a housing opportunity tax credit at any time prior to filing an annual or amended return under this act on which a subtraction under subsection (8) is claimed.

Sec. 476b. Authorized insurers are subject to the tax as provided in section 476a if applicable or ~~the former single business tax act, 1975 PA 228, or the Michigan business tax act,~~ 2007 PA 36, MCL 208.1101 to ~~208.1601,~~ 208.1519, or part 2 of the income tax act of 1967, 1967 PA 281, MCL 206.601 to 206.699, whichever is greater.

Enacting section 1. This amendatory act does not take effect unless all of the following bills of the 103rd Legislature are enacted into law:

(a) Senate Bill No. 966.

(b) House Bill No. 5806.

